

A Statutory Test for IFA Tax Shelter Status

Applying Subsection 237.1(1) to a Commercial Life Insurance Illustration / ArmstrongLife.com

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To determine if an Immediate Financing Arrangement (IFA) illustration triggers the tax shelter definition under subsection 237.1(1) of the Income Tax Act (ITA), we must apply the objective statutory test: is it reasonable to conclude from the representations made that the projected tax deductions in the first four years equal or exceed the net statutory cost of the investment property?

The Statutory Formula:

An arrangement must be registered as a tax shelter if $C \geq (A - B)$, where:

A = The acquisition cost of the property

B = Any prescribed benefits in respect of that property

C = The total represented tax deductions in the first four years

1. Identifying the Acquisition Cost (A)

The relevant property being tested is the income-producing investment acquired with the borrowed funds. In the provided illustration: Col. #4 shows a Year 1 "Annual Loan Amount" of \$100,000. To legally claim the Year 1 "Tax Deductible Interest" (Col. #8) under paragraph 20(1)(c) of the ITA, the presentation represents that this full \$100,000 was deployed into a qualifying investment. **Therefore, the acquisition cost of the relevant property (A) is \$100,000.**

2. Establishing the Prescribed Benefit (B)

A prescribed benefit exists if the loan is a "**limited-recourse amount**" under section 143.2 and is made "**in respect of**" the acquired property.

The Limited-Recourse Trigger: Under subsection 143.2(7), a loan is deemed a limited-recourse amount unless there is a bona fide written agreement to repay all principal and interest within a period no later than 10 years. We have verified the lending arrangement and can confirm that there is no bona fide written requirement to repay all capital and interest within a period no later than 10 years. The illustration confirms this structure by projecting the "Cumulative Loan Amount" (Col. #5) to compound until age 100 without out-of-pocket principal repayment.

The "In Respect Of" Linkage: The \$100,000 limited-recourse amount is connected to the investment property because the promoter explicitly relies on that investment to claim the \$5,000 interest tax deduction. As the loan is both a limited-recourse amount and made in respect of the property, the prescribed benefit (B) is equal to the loan amount: \$100,000. The net cost of the arrangement is determined by subtracting the prescribed benefit from the acquisition cost. \$100,000 (Acquisition Cost) - \$100,000 (Prescribed Benefit) = \$0 Net Cost.

3. Identifying the Represented Deductions (C)

The final element evaluates the deductions projected in the first four years. Col. #10 ("Total Annual Tax Deductions") explicitly projects \$5,175 in Year 1 deductions, combining the \$5,000 loan interest deduction with a \$175 collateral insurance (NCPI) deduction. Therefore, the represented deductions (C) equal \$5,175.

The Final Statutory Verdict

Applying the final statutory formula ($C \geq A - B$): \$5,175 (Represented Deductions) $\geq$ \$0 (Net Statutory Cost). Because the represented tax deductions in Year 1 (\$5,175) exceed the net statutory cost of \$0, this specific IFA arrangement mathematically satisfies the definition of a tax shelter under subsection 237.1(1) of the Income Tax Act.

Characteristics of an Immediate Financed Arrangement (IFA) Life Insurance Plan

Income Tax Rate: 50.17%

Loan Interest Rate: 5.00%

Deposits as Scheduled

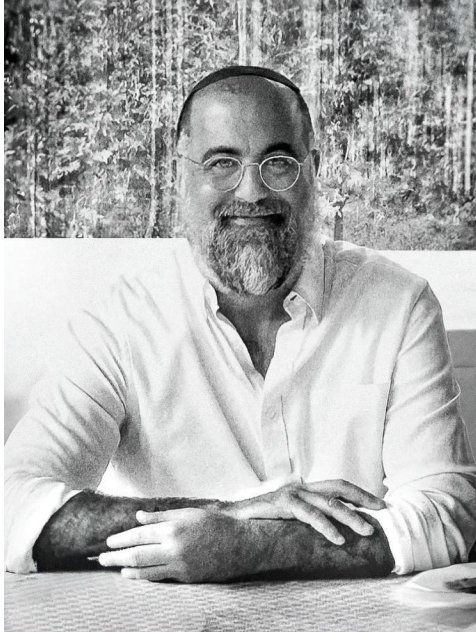
Dividend Scale Rate 5.35% (For Information Purposes Only)

Policy Information					Loan Details			Annual Deductions				Benefits
		#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12
		Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest	Tax Deductible Premium	Total Annual Tax Deductions (#8 + #9)	Total Annual Tax Savings (#10xTx%)	Net Death Benefit (#3 - #5)
1	60	\$100,000	\$61,091	\$1,446,039	\$100,000	\$100,000	\$38,909	\$5,000	\$175	\$5,175	\$2,596	1,346,039
2	61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	1,386,368
3	62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	1,428,112
4	63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	1,468,904
5	64	100,000	349,913	2,008,261	100,000	500,000	150,087	25,000	2,060	27,060	13,576	1,508,261
6	65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	1,546,651
7	66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	1,584,685
8	67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	1,622,740
9	68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	1,661,174
10	69	100,000	943,038	2,700,334	100,000	1,000,000	56,962	50,000	7,789	57,789	28,993	1,700,334
11	70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	1,666,002
12	71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	1,634,855
13	72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	1,606,979
14	73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	1,582,453
15	74	0	1,280,453	2,561,357	0	1,000,000	0	50,000	14,229	64,229	32,224	1,561,357
16	75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	1,543,051
17	76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	1,526,713
18	77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	1,512,257
19	78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	1,499,626
20	79	0	1,511,107	2,488,774	0	1,000,000	0	50,000	16,379	66,379	33,302	1,488,774
21	80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	1,479,661
22	81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	1,472,255
23	82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	1,466,528
24	83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	1,462,467
25	84	0	1,788,435	2,460,038	0	1,000,000	0	50,000	16,570	66,570	33,398	1,460,038
26	85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	1,459,189
27	86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	1,459,866
28	87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	1,462,024
29	88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	1,465,619
30	89	0	2,096,731	2,470,612	0	1,000,000	0	50,000	16,499	66,499	33,363	1,470,612
31	90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	1,476,217
32	91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	1,530,229
33	92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	1,584,179
34	93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	1,638,095
35	94	0	2,438,237	2,691,999	0	1,000,000	0	50,000	0	50,000	25,085	1,691,999
36	95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	1,745,912
37	96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	1,799,844
38	97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	1,853,789
39	98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	1,907,715
40	99	0	2,867,532	2,961,547	0	1,000,000	0	50,000	0	50,000	25,085	1,961,547
41	100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	2,015,145

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David Kakon, founder and mathematician at Armstrong Financial Services, holds an Honours B.Sc. in Pure & Applied Mathematics from Concordia University, graduating with distinction. With a strong foundation in mathematics, statistics, actuarial science, and computer science, David demystifies complex life insurance illustrations for his clients. His client-centric approach ensures active involvement in insurance planning, making sophisticated financial concepts clear and actionable.

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